The *Grundrisse* (The 1857-58 Manuscript)

The Chapter on Capital: Part 20

Overproduction (pp. 423-434)

September 29, 2026

Marx turns his attention to the notion of overproduction (the "general glut").

It is "nonsense" to assert that overproduction is impossible. To say this is to assert in effect the identity of the process of the production of capital with its process of valorisation ("*Verwertungsprocess*"; Marx 1973, p. 423 says "process of realisation"). In its least "sophistical" (i.e. most direct) form, this amounts to the proposition that "supply = its own demand".

There are two presuppositions that lie behind the notion (of the impossibility that overproduction is impossible). The first is that value is determined by labour-time, and that therefore nothing is added by and in exchange. (This, Marx implies, is correct.) The other is that exchange does "in fact" (i.e. inevitably) take place. (And the implication is that this is *not* correct).

(Marx is being oblique here; to put it more directly. (1) overproduction is a real possibility; (2) it is false to say that supply = demand; (3) to admit the possibility of overproduction is not to deny that value is determined by labour-time; (4) there is nothing inevitable about the realisation of the commodity product (its sale, its conversion into money, on the market).

In James Mill[1] the view is taken that should demand and supply *not* balance, then this must be because too much has been produced of one commodity (the supply) and too little of another (the demand). In Mill is conceived of in terms of use value (not exchange value): in Say, Marx notes, "products are exchanged for products".

But to say this is to forget (1) that values are exchanged for values; and (2) that a product (a value) exchanges for *labour*. "Overproduction takes place in connection with valorisation [*Verwertung*; Marx 1973, p. 424 has "realisation"], not otherwise."

Marx turns to Proudhon, for whom overproduction arises because "the worker cannot buy back his product".[2] By this, he understands that profit and interest are added to the real value of the

[1] To whom Marx referred to on Marx 1973, p. 411.

[2] "If a worker receives for his labour an average of 3 francs per day, the bourgeois who employs him (in order to

product: that its price stands above its value. But in actual commerce, even though capitalist A may swindle ("*bescheißen*") capitalist B the gain of the former is equal to the loss of the latter, such that the total mass of objectified labour-time remains the same. "They can therefore divide nothing among themselves other than the surplus value. The proportion—just or unjust—in which they distribute this surplus value among themselves alters absolutely nothing about exchange or about the exchange relation between capital and labour." (Marx 1973, p. 424) The deviation of prices form values can only affect the distribution of the labour-time objectified in commodities, not its aggregate magnitude.

For Proudhon it would seem to be the case that necessary labour-time (the wage) is determined by prices which already include profit. If this were not the case, Marx notes, where else would that profit that the capitalist who does not directly employ a particular worker come from in his exchange with him?

For example, take the capitalist spinner who employs workers who spend their wages on grain produced by the capitalist farmer. The price of this grain includes surplus labour-time. In turn, the wages paid by the capitalist farmer need to be high enough to buy the clothing produced by the spinner, and this cloth will also include surplus labour-time (i.e. profit). In both cases, the wages paid must be on the one hand of a level sufficient to obtain the necessary quantities of means of subsistence as well as on the other including the profits of the capitalists concerned. This is what the Proudhonist argument reduces itself to.

Anticipating the results of his argument, Marx says that there is a double problem with all this. First, "*price* and *value* are being mixed up"; second, "relations are brought in which are irrelevant to the determination of value of such." (Marx 1973, p. 425) What Marx means here will become clearer over the course of the following pages.

Marx expands on the Proudhonite conception. Suppose that capitalist A produces all the consumption goods that the worker needs: the sum of use values in which the worker's labour-time is objectified. The worker would then buy back from the capitalist that part of the product which represents necessary labour. Here, the money (the wage, which is then spent) functions solely as medium of circulation; the relation between capitalist and worker in this exchange is as capitalist and worker but as producer and consumer, as C (seller) and M (buyer). That part of the product that the worker buys (like the rest of the product) includes that surplus labour-time that represents the capitalist's profit. If, for example, the worker's necessary labour-time is 20 thalers, and the capitalist's profit 10%, then the commodities that the capitalist sells to the worker will have a price of 22 thalers. It is thus impossible for the worker to buy back the product. *Ergo* overproduction.[3]

But the presupposition of all this is wrong, says Marx. He sets out a numerical example to

gain anything beyond his own salary, if only interest on his capital) must sell the day's labour of his employee in the form of merchandise, for more than 3 francs. The worker cannot, then, repurchase that which he has produced for his master. And so it is with all trades without exception. The tailor, the hatter, the cabinet-maker, the blacksmith, the tanner, the mason, the jeweller, the printer, the clerk, etc., etc., even to the farmer and wine-grower, cannot repurchase their products; for since they produce for a master who in one form or another makes a profit, they must pay more for their own labour than they get for it." (Proudhon 1993, p. 144)

[3] Marx immediately makes the same point in a slightly different way ("[t]o make the matter tangible"). Let the wage (20 thalers) = 4 bushels of grain; the capitalist (according to Proudhon) sells these bushels not for 20 thalers, but for 22 (otherwise there would be no profit). But since the worker can only pay 20 thalers, only $\frac{20}{22}\%$ of the total product of 4 bushels can be sold, or $3\frac{7}{11}$ bushels.

illustrate the point. (He will continue the example, as his custom, over a number of different iterations.)

Let the value of 4 bushels of grain = 20 thalers, and let these 4 bushels express the value of the necessary wages of labour. Suppose that the total product is 22 bushels, of a value of 110 thalers. Of this, 80 thalers (16 bushels) are equal to seed, machinery, fertiliser, etc. Since 20 thalers (4 bushels) are equal to wages, 10 thalers (2 bushels) amount to profit.

The capitalist sells each bushel for 5 thalers (its "necessary value"). Since the total production is 22 bushels, then cost of production per bushel is $\frac{80}{22} = 3\frac{7}{11}$ thalers (seed, machinery, etc.) plus $\frac{20}{22} = \frac{10}{11}$ thalers (wages), a total of $\frac{100}{22} = 4\frac{6}{11}$ thalers. If each bushel sells at 5 thalers then profit is $\frac{5}{11}$ thalers (the difference between 5 thalers and $4\frac{6}{11}$ thalers). This profit is 10% on the production cost of $4\frac{6}{11}$, since $4\frac{6}{11} : \frac{5}{11} = 50 : 5 = 10 : 1$.[4] Hence the capitalist makes a profit on the 4 bushels he sells to the worker *because she sells 18 more at the same price.* If she only sold 16 bushels more than the four bushels that represent necessary labour (i.e. 20 in total) then her profit would be zero.[5]

Profit arises from the fact that the value of the product contains a part which is not paid for. In the example we have just seen, profit arises because 2 of the 22 bushels produced contain surplus labour-time. But this is just the same as saying that the capitalist sells an additional $\frac{1}{10}$ of a bushel for every bushel (of 20) she sells.[6]

(Marx emphasises that the *source* of profit is labour. For there to be a greater mass of surplus labour (profit) "it is not necessary that the outlay in raw material and machinery should grow", only that more labour be expended in production. "Assume that the same product obtains a higher finish through labour by hand—the mass of required raw material and instrument held constant—and hence its use value, therefore the use value of the product, increases, not in quantity, but in quality, owing to the increased hand labour employed on it. Its exchange value—the labour objectified in it—simply grows in relation to this labour. If the capitalist then sells for 10% more, then the worker gets paid the fractional part of the product, expressed in money, which represents necessary labour; and if the product could be divided, then the worker could buy this fractional part." (Marx 1973, p. 427))

Now consider (Marx labels this a "third case") that there is a need for more raw material, raw material in which surplus labour-time is objectified.[7]

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[4] Marx incorrectly calculates the profit as $\frac{1}{2}$ thaler, 10% of 5 thalers. But the 5 thalers per bushel price already *includes* profit. The profit is 10% of (i.e. additional to) the production cost of $4\frac{6}{11}$ thalers.

[5] *Inter alia*, Marx stresses the following point. "It is beside the point here that capital, in practice as well as in general tendency, [...] [tries in various ways] to defraud necessary labour, and to reduce it below the standard given by nature as well as by a specific state of society. We must always presuppose here that the wage paid is economically just, i.e. that it is determined by the general laws of economics. The contradictions have to follow here from the general relations themselves, and not from fraud by individual capitalists." Marx 1973, p. 425n)

[6] "The product is always divisible as value; in its natural form, it need not be so," Marx notes. "If [...] only one clock has been produced, where the relation of labour, capital and surplus value is the same [as in the example] then the quality of the clock has been raised $\frac{1}{10}$ in value by $\frac{1}{10}$ labour-time which costs the capitalist nothing." (Marx 1973, p. 427)

[7] Marx here makes a parenthetical remark ("Actually this does not belong here yet [...]") which (it seems) expresses a certain discomfort with dealing with this case because he has not yet developed its presuppositions, although what these might be is not clear (at least to me) from his remarks. ("[C]apital can just as well be posited here—or must be [so posited] in order to produce the raw material, e.g., cotton—and the increased production at

(Marx begins at this point a numerical example. It appears that it is something of a false start: he will set out a set of initial conditions, after which in the original manuscript a long section of numerical calculations have been crossed out (they can be seen on MEGA 2006, pp. 856-7). When he returns to the numerical example he changes some of the numbers on which the example is based. There is no point in reproducing either the initial statement of the example or the crossed out calculations here, for they add nothing of substance to the argument.)

One pound of twist (like one unit of any other commodity) "consists [*besteht*] exclusively of the amount of labour-time objectified in it." Suppose now, says Marx, that the value of 1 lb of twist is equal to 5 thalers. Of this value, $\frac{4}{5}$ (4 thalers) is cotton and instrument and $\frac{1}{5}$ (1 thaler) "the labour realised [*realisierte*] in the cotton by means of the instrument."[8] (Marx 1973, p. 428) If a *worker* needed 20 thalers a month to live, then, from spinning, she would need, working for herself, owning the cotton, instrument, etc., to sell 20 lb of twist. This would bring in an income, after discounting the cost of material and instrument, of 20×1 thaler, i.e. 20 thalers. If the worker worked for a capitalist, then the labour that worked up 20 lb of twist would count as necessary labour. Of the 20 lb, 16 would represent material and instrument, and 4 wages.

Now, if each pound of twist produced consists of 4 parts materials and instrument and 1 part newly objectified labour, then each pound of twist the capitalist orders to be produced *beyond* these 20 lb will consist of $\frac{1}{5}$ (1 thaler) *surplus* labour ("[o]bjectified labour which he has sold without having paid for it" (Marx 1973, p. 428)). For each pound *more* produced, the capitalist gains 1 thaler; for example, if she orders 10 lb (50 thalers) more to be produced, then 40 of these thalers replaces the material and instrument, and 10 thalers is surplus labour. If she produces a total of 30 lb of twist (20 plus 10), therefore, a total value of 150 thalers, the capital advanced as material and instrument will be $\frac{4}{5}$ of this, i.e. 120 thalers; wages will be 20 thalers; hence the total capital advanced will be 140 thalers. Surplus labour here will be 10 thalers (equal to 2 lb of twist). Calculated on the total capital advanced, the surplus labour will be $\frac{10}{140}$, or $7\frac{1}{7}\%$; on necessary labour, it is $\frac{10}{20}$, or 50%.

Assume now a growth in the productivity of labour, such that with a wage cost of 20 thalers the capitalist can spin 40 lb of twist (instead of 30). Marx assumes that the value of the twist remains 5 thalers a pound, with 4 thalers representing the materials-instrument cost, and 1 thaler "labour newly added".[9] The value of the total product will now be $40 \times 5 = 200$ thalers; if $\frac{4}{5}$ of this is material-instrument cost (labour previously objectified), this stands at $40 \times 4 = 160$ thalers. There remains 40 thalers, of new labour, of which 20 are wages (necessary labour). Surplus labour is therefore 20 thalers.[10]

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any one point must resolve itself into *mere* surplus labor or, what is *actually the case*, presupposes *simultaneous* surplus labur at all points of circulation." (Marx 1973, pp. 427-8, translation modified according to Marx 2006, p. 340)

[8] These figures are not consonant with those Marx set out at the beginning of this example.

[9] This is a problematic assumption; if the same amount of labour produces a greater mass of product then this last will be cheapened per-unit. In addition, we would suppose there be no change in the per-unit material cost, but the depreciation of the instrument should also fall per-unit. (Marx will address the first of these points, incorporating it into a version of his example, below on Marx 1973, pp. 431f.)

[10] Marx sets out this calculation (on Marx 1973, p. 429) in tabular form, and it is not immediately obvious what he is doing. His procedure is as follows. First he calculates the total value of the product, as 40 lb $\times$5 thalers = 200 thalers. Then he subtracts "20 lb" (equal to 100 thalers) "for necessary labour" (in the original Marx says "for necessary labour, etc.", which means wages *and* instrument and material cost; in Marx 1973 this "etc." is missing); 20 lb is equal to 100 thalers. (On this 20 lb Marx says "he [the capitalist] would have made not a

From this Marx calculates that "[o]n an investment of 200 thalers the capitalist would have earned 20, or 10% [...] on total investment." (Marx 1973, p. 429) This is a mistake. The total investment for the 20 lb is 160 thalers materials-instrument plus 20 wages, a total of 180 thalers, and it is this that the rate of profit has to be calculated on. (200 thalers is the total value of the product, *including* profit.) Thus the actual rate of profit is $\frac{20}{180}$, or $11\frac{1}{9}\%$. (On the following page (Marx 1973, p. 430), immediately after the next table (in the line that begins "In fact in the above example") Marx corrects himself, and correctly calculates the rate of profit.) Marx goes on to note (correctly) that on the first 100 thalers of product there is no surplus; on the second there is 20.

Now Marx assumes another rise in productivity, so that now the same labour produces 80 lb of twist (equal to 400 thalers; Marx again assumes no change in the per-unit value of the product). The total material-instrument cost continues to be $\frac{4}{5}$ of the total product, i.e. 320 thalers; wages are still 20 thalers. This means the total capital advance is 340 thalers, and that the surplus is therefore 60.[11] Marx calculates (correctly) the rate of profit to be $\frac{60}{400}$, or 15%.

Marx now observes that, in the exercise he has just carried out, the smaller the proportion of the "outlay" ("*Auslage*", i.e. the capital advanced) the wage component (necessary labour) is,[12] the greater the "gain" ("*Gewinn*"; that is, profit) of the capitalist (by which Marx means the *rate* of profit) will be.[13] (Marx goes on to say that, despite this, this (rate of) profit "stands in no obvious relation to the real surplus value, i.e. surplus labour". It is not clear to me what exactly Marx means by this remark.[14])

In the example we have seen, the "real value" of a pound of twist is 5 thalers. This is the case whether it is produced by independent producers in possession of their own conditions of production or by a capitalist. In the former case, each worker would produce only 20 lb, and would make out of the sale of the product, after replacing the materials-instrument cost, only her wage (necessary labour). Hence, "[t]he capitalist's gain comes not from selling the pound *too dear*—he sells it at its *exact value*—but from selling it above the costs of production, *his* costs." (Marx 1973, p. 430)

Nevertheless, even though the surplus value only begins to appear (so to speak) once production goes beyond the point where the sum total of labour-time newly objectified in the product is equal to the necessary labour-time advanced in the form of wages, this is not how the capitalist thinks: she calculates her profit not on that part of the product in which the surplus labour-time is objectified but on the whole capital advance. "What he [the capitalist] calculates is not that

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farthing".) This leaves 100 thalers, equal to 20 lb of twist. From this Marx subtracts $\frac{4}{5}$, i.e. 80 thalers, for the material-instrument cost for these 20 lb. This leaves 20 thalers surplus.

[11] Marx's tabular procedure (Marx 1973, p. 430) is as follows. 80 lb of twist is equal to 400 thalers. 20 lb (i.e. 100 thalers) are subtracted for "necessary labour, etc. (which includes material-interest) for the first 20 lb. There remains 300 thalers of twist (60 lb). From this is subtracted $\frac{4}{5}$, i.e. 240 thalers, the material-instrument cost for this 60 lb. There remains the surplus, of 60 thalers.

[12] The higher, in other words, what Marx will in *Capital* call the "organic" composition of capital.

[13] This is true only under the assumptions of this particular example, *viz.*, that the an increase in the productivity of labour working in a given process has no effect on the per-unit value of the commodity product, under which circumstances, as we have seen, beyond a certain point the newly objectified labour-time component of every unit produced is entirely *surplus* labour.

[14] "In order for the capitalist to gain 10%, he has to spin 40 lb of twist; the worker needs to spin only 20 [lb] = necessary labour. [The ratio of] [s]urplus labour [...] [to] necessary labour [is] 100% [...]. This is our old law." (Marx 1973, p. 430)

he gains 20 thalers out of the second 100 thalers, but that he gains 20 on his entire investment of 180 thalers. This gives him a profit of $11\frac{1}{9}\%$, instead of 20." (Marx 1973, pp. 430-31) In order to make this profit she has to sell 40 lb of twist at 5 thalers the pound. The 20 thalers surplus are distributed over the whole 40 lb; out of every 10 thalers sold, 1 thaler represents surplus labour.

Marx now says that the *price* of a commodity is determined by "by the multiplication of the value of the unit (measure) of the use value (pound, yard, ton, etc.) with the number of these units produced". (Marx 1973, p. 431, italicisation suppressed) This means ("among other things") that "a decline in the price of the unit and an increase in the number of units—brought about by growth of the productive forces—shows that profit increases in relation with labour, or that the proportion of necessary labour declines in relation to surplus labour".[15]

If, for example, the productivity of labour were to grow such that a given worker could produce double the amount of twist in a given amount of time ("presupposing that l lb of twist renders him entirely the same service, regardless of its cost, and that twist, clothing, is all he needs to live"; which means that the cost of reproduction of the labour capacity engaged in production would be halved) then, "because he [the worker] would be transforming the 20 lb cotton into twist in $\frac{1}{2}$ the time" the value added by labour to 1 lb of twist would fall from $\frac{1}{5}$ to $\frac{1}{10}$.[16] If the material-instrument cost remained at 4 thalers for every 5 thalers of product produced, then the first 20 lb of twist produced would cost not 100 thalers but 90, and each pound would therefore have a value of $\frac{90}{20} = 4\frac{1}{2}$ thalers.[17]

Suppose that the same mass of labour capacity as in the previous iterations of the example produces 80 lb of twist. The wage cost (necessary labour) will now be 10 thalers, not 20 (since the cost of reproduction of labour capacity has halved); assuming that the per-unit material-instrument cost remains the same, at 4 thalers the pound, then the total price of the product, at a per-pound price of $4\frac{1}{2}$ thalers, will be $80 \times 4\frac{1}{2} = 360$ thalers. If the material-instrument cost is 4 thalers the pound, and the per-pound value $4\frac{1}{2}$ thalers, then the total material-instrument cost will be $360 \times \frac{4}{4\frac{1}{2}} = 320$ thalers. The total capital advanced will therefore be 320 thalers (material-instrument) plus 10 thalers (wages), or 330 thalers. The surplus will then be $360 - 330 = 30$ thalers, and the rate of profit $\frac{30}{330} = 9\frac{1}{11}\%$.

(Alternatively, we might run the calculation like this, following Marx's tabular procedure. To reproduce the necessary labour of 10 thalers, given the newly-objectified labour charge of $\frac{1}{2}$ thaler the pound, the worker will need to produce $\frac{10}{\frac{1}{2}} = 20$ lb. The total value of this 20 lb is equal to $20 \times 4\frac{1}{2} = 90$ thalers. There remain now 60 lb, of a total value of $360 - 90 = 270$ thalers. Of these, the material-instrument cost is 4 thalers the pound, a total of $60 \times 4 = 240$ thalers. Subtracting this from the 270 thaler material-instrument cost leaves 30 thalers newly-

[15] Marx contrasts this to Bastiat, who earlier (Marx 1973, p. 385) he had attributed the notion that with a fall in the rate of profit the workers' share of the product would rise.

[16] The idea here is that the same amount of labour would be distributed over double the product. However, Marx's calculation is not quite correct. If all that happens is that the newly objectified labour component of twist would fall from 1 thaler the pound to $\frac{1}{2}$ thaler the pound, the per-pound value of twist would fall from 5 thalers to $4\frac{1}{2}$. But $\frac{\frac{1}{2}}{4\frac{1}{2}}$ is $\frac{1}{9}$, not $\frac{1}{10}$.

[17] In the original Manuscript Marx mistakenly writes at this point "[t]he 20 lb would cost 90 thalers, and the pound $\frac{90}{20}$ or $4\frac{9}{20}$." (Marx 2006, p. 343, my translation) This mistake leads him astray in his further calculations. In what follows here I give the correct calculation of total surplus value produced and rate of profit, based on the correct per-pound price. I shall comment briefly on Marx's calculations, and the attempts by Marx 1973 and Marx 1986 to correct him, at the end of this.

objectified labour, which, for these 60 lb, is all surplus value. The total material-instrument cost is equal to 80 thalers (the first 20 lb) plus 240 thalers (the remaining 60 lb), equal to 320 thalers. Adding the 10 thaler wage cost to this gives us a total capital advanced of 330 thalers. If the surplus is 30 thalers, then the rate of profit is $\frac{30}{330} = 9\frac{1}{11}\%$.[18])

Marx now draws some rather important conclusions from what he has just done. The first he expresses rather obliquely; here is what he actually says (I will offer an interpretation immediately afterwards). "The capitalist's gain [proft] from the value of the measure (unit) of use value—pound, yard, quarter, etc.—decreases in proportion as the relation of living labour to raw material, etc.—of newly added labour—decreases; i.e. the less labour-time is necessary to give the raw material the form which the unit expresses." (Marx 1973, p. 432) Translation: the amount of profit per-unit of a given commodity falls with the increase in the proportion of already-objectified labour (materials and instrument) to newly-objectified labour (labour expended in production) in the production process in which it is produced. But at the same time, while the per-unit surplus value produced falls, the number of units produced increases.

Second. Even if the price of a commodity falls below its value a capitalist can still realise a profit on its sale, but only if he sells a number of units sufficiently large to fully recoup the cost of the necessary labour objectified in production. If the capitalist sells at price above the cost of production, but below value, her profit is equal to the difference between cost and price; the difference between price and value is then made "a present" of to the consumer.[19] Marx notes that this is "a very important factor in competition", and admonishes Ricardo for neglecting it.

The price of a commodity is determined by its value, Marx says, but it is not *only* determined by its value. Price appears "originally" ("original" in the *logical*, not temporal sense) as value expressed as money. If the value of (say) a pound of twist is 5 thalers, this means that there is as much labour-time objectified in a pound of twist as there is in 5 thalers. This determination is independent of the *quantity* of twist under consideration. However, this last (quantity) becomes

[18] Marx, as we have seen, calculates the per-pound as $4\frac{9}{20}$ thalers. He then sets out his calculation in tabular form, as he has done for the previous iterations of the example. He calculates the total value of the product (80 lb) as $80 \times 4\frac{9}{20} = 356$ thalers. He then subtracts the initial investment of 90 thalers (80 material-instrument plus 10 wages), leaving 266 thalers. He then subtracts from this last figure $239\frac{17}{89}$ thalers "for investment, etc." (it is unclear to my mind how he derives this last figure), leaving a remainder of $26\frac{72}{89}$ thalers, which is equal to the capitalist's surplus. He then notes that this last figure is higher than 20 (which was the surplus on the immediately previous iteration of the example), before rounding it to 27 thalers, and then calculating a rate of profit (on 330 thalers advanced) of "over 12%" (in fact, $\frac{27}{330} = 8\frac{2}{11}\%$).

Meanwhile, Marx 1973 (p. 431n) tries to reconstruct Marx's calculation on the basis of a corrected per-pound price ($4\frac{1}{2}$ thalers rather than $4\frac{9}{20}$ thalers); however, by taking the composition of the product between material-instrument and necessary labour to be 4 : 1 (rather than 4 : 1/2) it calculates the material-instrument component of the final 60 lb of twist (equal to 270 thalers) to be 216 thalers (rather than 240 thalers) and thus over-estimates the surplus value (at 54 thalers) and the rate of profit (at 15%). (Note that in the penultimate line of the this correction what appears as "360 thalers + 90 = 270" should (obviously) be "360 thalers $-\,90 = 270$".)

Finally, Marx 1986 (p. 360 and p. 558n128) correctly notes Marx's error in characterising the fall in the newly-objectified labour component with the rise in the productivity of labour as a fall from $\frac{1}{5}$ to $\frac{1}{10}$ (rather than from $\frac{1}{5}$ to $\frac{1}{9}$), but after that simply reproduces the calculation as it appears in the original Manuscript without further correction. In addition, in this reproduction there occurs an unfortunate typographical error, when Marx's (incorrect) per-pound price of $4\frac{9}{20}$ is rendered as $\frac{49}{20}$.

[19] This at least is my interpretation of the following two sentences. "If the relation of labour to raw material, etc. is $\frac{1}{5}$, then he [the capitalist] can sell at e.g. only $\frac{1}{10}$ above the constant value, since the surplus labour *costs* him *nothing*. He then makes a present of $\frac{1}{10}$ of the surplus labour to the consumer and realises only $\frac{1}{10}$ for himself." (Marx 1973, p. 432)

decisive in the determination of *price*.

Third. If we take the example above, in which a given value of necessary labour produces a quantity of twist in which is objectified 80 thalers of materials and instrument, then if the worker were to produce only that amount of twist in which necessary labour is objectified then she would realise no more material and instrument than that 80 thalers. But the *capitalist* must also advance capital for in the form of raw materials and machinery for the objectification of *surplus* labour.[20] Capital *accumulates* surpus labour; "instead of investing (spending) it, like, say, Egyptian kings or Etruscan priest-nobles for pyramids, etc." (Marx 1973, p. 433)

(Marx reiterates that there also enters into the determination of prices "fraud, reciprocal chicanery", but this "has nothing to do with the determination of value as such." (Marx 1973, p. 433, italicisation suppressed))

Marx now expresses his satisfaction with having put paid to Proudhon's theory of overproduction, which is (for Proudhon) at root the inability of the worker to buy back her product. "The basis on which this rests is that he (Proudhon) understands nothing, either about value determination or about price-determination," Marx declares. (Marx 1973, p. 433) Further, Marx says, the conclusion is also false: "[i]n the slave relation, the masters are not troubled by the fact that the workers do not compete with them as consumers."[21] (Marx 1973, p. 434.

(In a kind of coda to his argument, Marx makes the following final point. The product is realised by being transformed into money; this money now appears as "realised capital". However, any difficulty that arises in this realisation is independent of the *mass* of money in existence in circulation, i.e. a failure to complete the realisation will nor be due to a *lack* of money.

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It might be useful here to take a step back and summarise Marx's argument in this section of the Manuscript.

The notion that overproduction is an ever-present feature of capitalist production (the theory of the "general glut") is in general founded on the proposition that capitalists, who are continually looking to expand production, will always tend to produce more than could be bought back on the market. For Proudhon the form that this takes is the impossibility of the worker to buy back her product, i.e. what she has directly produced, since on this the capitalist charges a profit, over and above the value of the product equal to the value of her wage.

Marx disputes this view on the following grounds. The worker *does* buy back her product, since she always buys back that part of the total product equal in value to the necessary labour it contains. Another part of the product, that equal to the materials, instrument, etc. consumed in production is sold in order to release the money necessary to replace it. The remaining part of the product is the surplus, and this is bought back by capitalists themselves, with their surpluses.[22]

[20] Marx adds here that this outlay forms the basis for "provisional [original, "primitive"] accumulation".

[21] "Nevertheless, *production for luxury* as it presents itself in antiquity is a necessary result of the slave relation. Not overproduction, but *over-consumption* and *insane consumption*, signifying, by its turn towards the monstrous and the bizarre, the downfall of the old system of states."

[22] These last two propositions are not more than hinted at here; Marx will not definitively set them out until the final part of the second volume of *Capital*.

There is thus no *inherent* tendency for capitalist production to produce more than it can sell: the process of production itself creates a monetary demand sufficient to realise the product produced. But that the monetary demand exists and is sufficient is in itself no guarantee that it will be *realised*. Marx does not therefore eliminate the possibility of crises of overproduction (which are, by definition, crises caused by or manifesting themselves as an inability to sell some part of the existing commodity product); he simply rules out the basis of such crises being a tendency to produce *too much*. Rather, he locates the *possibility* of overproduction in the fact that the *valorisation* of capital and its *realisation* are distinct processes, separate moments in capital's full movement.

A little earlier in the Manuscript (Marx 1973, pp. 402ff) Marx used the term "*Entwertung*"—"unvalorisation" (or "devaluation")—and he used in two senses, one quantitative, and the other qualitative. In the quantitative sense, capital is "unvalorised" through the way that the constant process of the per-unit cheapening of commodities wrought by increases in the productivity of labour cheapens the cost of its reproduction.[23]

In its *quantitative* sense Marx used the term in the following way. Throughout the Manuscript so far Marx has referred to money, owing to its property of *universal exchangeability*, as "value *as such*". While we might say that a commodity, which is a product of labour, and, as such, is an objectification of labour-time, *has* value; money, by contrast, *is* value. I can walk into any establishement in the world if I have (enough) money to buy what I want, in a way that I cannot if I only have, say, a sack of grain or a quantity of cotton twist. These last two, however, or the value they *contain*, can be converted into value "as such" if I sell them, but to sell them I need to find a buyer who wants them and who can pay for them, and the possibility of this will depend on a variety of contingent circumstances. This is the realisation problem.

Realisation and valorisation are thus distinct processes (or distinct "moments" of the same process); realisation is external to valorisation, and dependent on circumstances external to valorisation, circumstances that present themselves as *barriers*. It is here that we locate the possibility of "overproduction": not in the sphere of production, but in that external sphere of *realisation*: in the barriers *to* realisation, and the way that these barriers then present themselves as barriers to the *reproduction* of capital.[24]

[23] "[T]o the extent that capital does not increase absolute labour-time but rather decreases the relative, necessary labour-time, by increasing the force of production, to that extent does it reduce the costs of its own production—in so far as it was presupposed as a certain sum of commodities, reduces its exchange value: one part of the capital on hand is constantly devalued owing to a decrease in the costs of production at which it can be *reproduced* [...]." (Marx 1973, p. 402)

[24] And it is in this that Marx differentiates himself too from Say. With the proposition that "supply creates its own demand" Marx would have little difficulty; that the existence of supply (production) in itself presupposes the *actuality* of realisation is another question—Say implicitly assumes that it does; and it is this that Marx explicitly denies.

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